

funds, institutions or individuals—who employ high-fee managers.”

To be clear, Mr. Buffett suggests Vanguard; I don’t disagree.

The other frequent mistake investors make is thinking they can time the market. If the market fluctuates up and down, doesn’t it make sense to buy when the market is low and sell when the market is high? This allows you to get the upside of market gains while avoiding market losses. This would be a great idea if it worked. Unfortunately, there is no way to do it consistently.

We know the market fluctuates up and down. We know that over time, the market reflects the economics of the businesses it represents. But fear and greed drive the day-to-day volatility of the market. These behaviors can be irrational and unpredictable. That makes trying to time the market correctly futile. It is easy to predict that markets will go up and down. It is difficult to predict when and by how much. Doing it consistently is impossible.

Investors take different approaches to try to beat the market by stock picking and market timing. There are also plenty of people who go to Las Vegas and put their money into slot machines, on blackjack tables, or on red or black at the roulette wheel. Most gamblers make bets they *could* win, but, statistically, it’s more likely they’ll lose. Be an investor, not a gambler.